LONG VOL: THE EMPTIEST ROOM AROUND (Guest: Robert Mullin)

Podcast: Market huddle

AI Executive Summary

1. Core Thesis The episode argues that sustainable wealth generation requires a shift from purely long-only portfolio construction to a disciplined long-short framework that manages volatility and uncorrelated risk. Robert Mullin asserts that the "path function" of returns (surviving market drawdowns) is more critical than pure upside momentum, especially in a shifting environment where traditional low-inflation liquidity models are failing. The market is transitioning from a safe, unipolar era to one characterized by geopolitical fragmentation, higher inflationary pressure from global fiscal deficits, and supply-constrained resources, necessitating a contrarian approach that embraces volatility hedges and defensive resource positioning.

2. Key Arguments & Data

3. **Long-Short Portfolio Construction:** The core value of a short book is not just to make money in bull markets but to protect the long book from drawdowns (e.g., 150% gross long / 75% gross short structure). If a manager loses 20% on shorts, they still retain significant net value despite the market decline.
4. **Path Function vs. Alpha:** Uncorrelated or anti-correlated volatility components are essential for emerging from market turmoil; most people abandon these strategies (like Chris Cole or Diego Perez) when markets grind up because uncorrelation is invisible during stable periods.
5. **Market Regime Change:** The current era favors the S&P 500 and long-duration assets due to low interest rates and liquidity. This environment relies on a unipolar US-centric global trade where governments no longer rely on each other for supply chains, driving higher inflationary pressure from simultaneous fiscal deficits worldwide.
6. **Volatility Hedges:** Allocation of 1.5% to 2% to long volatility is recommended. Tools include VIX calls, out-of-the-money options, currency trades (e.g., Yen/Euro), and short-term TLT calls. The goal is inexpensive convexity rather than pure beta.

7. **Energy Sector Strategy:** Energy was "egregiously under-owned" in Q4 of 2025/late 2026 (dropping to ~4-7% of S&P). Dividend yields of 15-18% are available on sustainable resource equities. North Sea and UK North Sea energy producers are viewed positively due to returning pragmatic policies, despite past "green cred" crackdowns.
8. **Copper & Mining:** Shorting major capped copper miners (AI bros overhanging) while holding a basket of junior developers with new-generation projects. US copper inventory is viewed as strategic hoarding rather than functional supply, driving price isolation from functional demand concerns.
9. **Supply Constraints:** Resource spending in CapX dropped ~50% nominal and ~75% inflation-adjusted since the 2012-2014 range due to a "demand-driven bull market" followed by neglect during the AI boom. This creates a future supply bottleneck as the economy requires more materials-intensive infrastructure.
10. **Shipping Rates:** Tanker rates have surged absurdly (800k to 1M/day vs. cost of ~250k/day), driven by geopolitical demands, OPEC supply buffers depletion, and Middle East Gulf Coast demand. This represents a niche industry opportunity with incredible margins but high volatility.

11. **Gold Strategy:** Tactically reduced gold exposure in late 2026 when the trade became "too good" to sustain retail momentum. The strategy focuses on central banks pivoting away from bonds toward gold, driven by US Treasury bond market weakness and geopolitical risk aversion.

12. Actionable Takeaways

13. **Rebuild Short Exposure:** Managers should be willing to short individual stocks outside major index flows (10-25B market cap) to hedge against broad market declines and play off of the "path function."
14. **Diversify into Resources:** Increase exposure to high-yield energy companies (e.g., Canadian oil sands, North Sea independents) offering 7-12% yields and 2-3x cash flow multiples as a counter-cyclical asset.

15. **Utilize Volatility Plays:** Allocate 1.5-2% of portfolio capital to long volatility instruments, specifically VIX calls, currency trades (Yen/Euro), or high-yield utility options to capture anti-correlated returns during drawdowns.
16. **Watch CapEx Cycles:** Monitor resource sector CapX levels; companies with neglected growth since 2014 may be undervalued as supply constraints tighten around 2030.
17. **Adjust Portfolio Philosophy:** Move away from rigid long-only frameworks; adopt an architecture approach to portfolio management that prioritizes resilience against regime change (inflation/geopolitics) over linear beta returns.
18. **Review Attribution Letters:** Study fund letters from top long-short managers (like Robert Mullin's MRA Funds) to better understand risk-adjusted performance, as traditional "letter of the law" return metrics often hide volatility risks.

Full Transcript

It's Friday, October 23rd, 2026, episode 304. I'm Kevin Muir. And this week we have the great pleasure to welcome back to the show Robert Mullin, founder of Marathon Resource Advisors. Robert, thanks for making time for us. Oh, God, great to be here, Kevin. Thank you for having me. You know, I was looking back and thinking about when you were last on the show and you came on and you had some great picks. It was a terrific interview. And then I watched the performance of your fund and it went straight up.

It was unbelievable. Everything you said came true and it was straight up. And since then, I've been dying to have you back on the show because you had so many great insights. And not only that, I just want to put this out there right away. I get your letter in terms of to your investors. It's one of the best attribution letters I've ever read. Thank you. I really appreciate that. We put a lot of work into it. Yeah, I just I love the way you lay it out. I love the way you explain to people what what contributed to it where what were the positives were the negatives. I think that everyone should should take lesson from that. If you're managing money, go find Robert's letter and go and use that as a template because I think it's that good. All right. So you were kind enough to say that you were going to get on the trading couch and talk about your stay upright. But let's go to the catch.

So one of the things that we, uh, you know, we'll just, let's just start with creating a portfolio. And one of the things that as you read your letters, you'll realize that you don't just approach it with like, I'm going to pick, you know, 10 stocks that are, you know, I think are positive and I'm going to be long those only. And, uh, and that's all you think about it as creating a portfolio that has a certain characteristic of volatility and et cetera, et cetera. Talk to us about that process. Yes, so look, when you talk to investors, they end up wanting to 95% of the time they want to hear about what you're excited about today and the longs that you're picking and what's going on there. And those are, look, important. And we put a lot of thought into kind of balancing the various resource sectors along in our long book, you know,

around this construct of kind of high dividend paying resource equities that we think gives us a lot of asymmetry.

But that tells you a lot about you know how eventually you will get to a to be in probably the major drivers of a return but the path function can be very very different. And that's where the things that people don't talk about a lot the short book the long volatility component of what we do those are the things that influence the path function and that. At the end of the day I think is a more important driver of returns. to be able to manage through periods of volatility and create what we hope to do, which is we have not just great returns, but some significant element of uncorrelation or, at best, anti-correlation during times of market disruptions, crisis alpha, for lack of a better term.

And if you can do that, that's a unique beast. And that's really something that we've been focusing on. Most people don't appreciate it very much in days where the S&P just keeps going up until the right. And you don't need uncorrelation because everything's correlated and it's all going the right direction, right? But that, I think, is a lost art. Um and you know you you termed me you know an empty room kind of guy on the last project. My kids love that by the way they're like does that mean you don't have many friends? Um but but I I think there are a couple of empty rooms today that we can explore on the couch you know one of which is you know willingness to be short and patience with the shorts and the other is kind of embracing volatility and I think those I think those are things that go to the core of I think you kind of who I am as a person and what drives the way we construct portfolios. Right. So speaking of who you are as a person, I had the good fortune to be with you last month. And you had a line that I thought was so good and so funny. And you said, this is how much of a contrarian I am. And he dot, dot, dot, I'll let you finish off the thing about where you're from and what you ended up investing in.

I was born in Stanford Hospital, grew up in the heart of Silicon Valley, rode my bike up and down Sand Hill Road for most of my youth on a big loop, you know, 20 mile loop that I used to do kind of up into the Woodside and Portola Valley Hills. And I decided to be a resource guy. You know, so egregiously egregious amounts of wealth created in and around me. I don't

want to say you could kind of throw a dart, but you could kind of throw a dart and do that. And yet I decided to take a much more challenging, much lesser traveled route, shall we say, and be the real asset guy. The gift that I was thinking of in the text chain that we had recently was you remember Steve Martin in the jerk and he's walking around and he's like, that's all I need. You know, that's all I need. This this remote control is he's at the bottom of his thing. And it's like, I have my value principles as a resource manager. And I like my free cash flow yields. That's all I need is this, you know, 30% yield on my tanker stocks and my four times cash flow fertilizer company. And that's that's all I need.

Okay, so one of the willingness to be a contrarian is actually to be, as you mentioned, short in this market. And it is a difficult thing because everything's going up. And not only that, I guess some resource stocks going up, but not everything. And talk to us about, first of all, about the difficulties of being a contrarian in an environment where it seems so easy to just go by the Sand Hill AI names and people have been doing so well and yet here we are struggling with resource like why are we why are we doing that and then how do you hedge for it using this your short techniques. Yes, so look for all of what we do in portfolio management the question is why what purpose does it serve? And usually the first question you get when you are a long short manager is do you make money on your shorts?

and there are periods of time where we have and actually for most of the last decade we kind of did it's the last few years that have been a little bit more challenging on that but i think you need to take it up a level and and say what is the purpose of these shorts and you know i look at it in a way let's i i'm going to speak in a very theoretical realm because you know we We've grown a fair amount recently. We're probably going to have to be registering with certain authorities. So I'm going to speak in general terms. But if you look at a classic AW Jones long short portfolio, 150% gross, long 75 gross short, 75 net exposure. What's the purpose of that 75 short? And what level of the performance on that do you have to have to make sure that it is valuable to you?

And it really depends on, does your long book do reasonably well? And if your long book does well, the ability to absorb losses but still generate overall value with your short book is enhanced. Let's just do the math. If you're up a couple hundred percent and you were just running a hundred percent gross long book, you're up a couple hundred percent. If you're running a 150 gross long book, you're up 300 percent. What you have done to protect yourself if you got 75% grow short your gross shorts have to go down a lot. Your shorts have to be down as much or more than your lungs are up to make that not useful to you. So even if you lose 20% on your short book over the course of that same performance period you've lost 20% times 75 gross is you've lost 15%. So instead of being up.

You know a hundred percent you're up 150 percent minus if you're up 135 percent right instead of the hundred percent and so that has served a purpose so i think that's sort of the linear argument which is if you do have shorts that you think in you know, most periods of time you can kind of break even on in times where you really need it, you're going to make a lot of money because you know, overall markets are introducing volatility, a downside fall. That's really valuable. And so that's the linear argument is overall returns go up. But I think the path function is much more important. How does it impact how you are running money at the time of major drawdowns?

That's where a short book and we can get into sort of the long volatility component of that as well because I view that as kind of a separate entity. That's where it becomes really useful because the difference in being just a long only manager where markets are starting to go against you and you're down ten twelve fifteen percent. And the human reaction. is to cut exposure because it hurts. And look, you may buy that first dip, but when there's the next dip and the next dip after that, you know, all portfolio managers find themselves in a place where they're like, just make the pain stop. And they're de-grossing at the time. They're relinquishing opportunity at the time that they should be embracing it. Okay, so it gives you the ability to play offense when everyone else is playing defense.

Yes, and that is where outsized returns come from the ability to step in you know in our particular case We like buying stocks with seven ten twelve

percent dividend yields that are we view is sustainable To be able to buy those when the yields go to twelve or fifteen or eighteen That's the difference between you know that that can add in one single three month period of volatility bout a covid or a tariff tantrum or something like that, that can add thousands of basis points of performance to your annual returns in a period of time where most people are losing that. And so that to me is an area where people are, they're now kind of afraid to tread anymore. Even the classic long short managers, they talk about, I will short some ETFs, but there's just shortings too hard. Really?

You notice that that people are giving up on individual shorting. There's a lot of that where people are moving and I think pods are moving to a lot of either super big index name only shorting big index names or shooting shorting ETFs. You also notice that I used to have a great cadre of friends in the short only right. They don't exist anymore. That is, you know, that they are few and far between today. And so, you know, when even guys like chainos and the sort of archetypes of that. genre have gone out of business, you don't hear anything about it. For the same token, you don't hear about the long volatility guys anymore. You're not hearing about, you know, Chris Cole and Diego Paria and those sorts of guys who, you know, you hear about them after 2000 or 2020, in 2020 in terrorism. You hear about them for brief periods of time and but you, you know, when you stop hearing about them is probably the time you should start paying attention to.

You're absolutely right there. Do you think that the markets have become less efficient? Do you think that the part of the reason that these shorts have given up is because it does seem like almost impossible to win and the markets are diverging from fundamentals? There is certainly elements of that in today's market. And I think the first order reaction to that can be, I just give up. I'm not going to try anymore. whether it's passive flows that have been, you know, covered very well by cats like Mike Green, etc. You know, other facets of this, you know, that I think, you know, we have some friends who have explored recently in, you know, the tax advantage or a tax, the basically the tax, tax, tax wear long shorts, these strategies, yeah, tax wear long shorts. So, so there, there are non fundamental flow drivers of what's going on in markets that for I think the better part of the last three, four, five years have made traditional shorting. You've had to be very

adaptable to be able to make money. Because that was going to be my next question. How have you adapted on the short book given the change in the market environment? Yeah. So I think there are a couple of ways you do that. One is to be more tactical and say, look, I'm more willing to if it goes 10% against me, just cut it in half, cut it in two thirds and be willing to come back at a later point and not die on that hill, so to speak. But I also think it's the type of you have to understand the type of shorts that are working and you have to just observe. And, you know, big companies that are in the S&P 500 index, you know, I wrote a couple of things about shooting against like deer. I think I think I think deer had like 15 straight quarters where they guided down. And the stock just went straight up into the right. And it just multiple expansion, multiple expansion, multiple expansion. And there is nothing that could explain it other than just index floats. And, and it was a bigger component of a bigger index. And it's at relative to stocks or else. So you have to think about shorting stocks outside the index. And that doesn't mean that you have to go smaller microcap you can go into companies that are five to twenty five billion dollars in market cap and just and just understand that those are going to be more fertile hunting grounds for what you do and then sometimes you had to adapt for that size discrepancy you have to short bigger baskets of things and we'll go into sub sectors in the resource space and just go okay we want to 7 to 10 percent short here. It's not going to be three companies. It's going to be 10 because we want to be outside of the index flows so that we have what we think is at least more fundamental drivers to the companies that we're we're being short. So I'm just pulling up dear and you're absolutely right like the next 12 month EPS just keeps going down. It's recently gone up but but it's.

It's kind of shocking that the market is just assigning a higher and higher, you know, P to that thing feels like Costco and all these other things that are just the quote unquote quality, but I don't know how that's quality with EPS falling. Yeah. Well, then I think if people retroactively apply a reason for it, right, it's, you know, stock performance drives narrative. And oh, they're using AI to more effectively, you know, harvest fields, etc. And they've got, you know, drone driven, you know, so they're more effective. And it's like, maybe that's part of it, maybe not. But that is a narrative following price. Okay, so you talked about using baskets. And so is that is that something you've recently done more of, like one of the solutions has been to kind of

spread the risk out over more names. Yeah, and to be able to go down a little bit in market cap from where we are and still feel like we have the liquidity to risk manage those positions properly. Okay, got it. The other thing you mentioned earlier, you said there was two components to to running a long short book and one of them was shorting and the other one is long volatility.

Why do you explain to people how you use long volatility? Because it is a drag on your portfolio, yet at times it can be really important. How do you use it and what do you think the benefits are? Yeah, look, I think long vol may be the emptiest room around. It's like the attempt by the allocator class has been to eradicate volatility from every component. of their portfolio. So what they really seem to be, I'm making a universal statement there. It's not universally true. There are folks out there who think a little bit differently and want to do that, but they're looking for low vol versions of X, Y, Z, A, B, C. They're looking for low vol versions of all of them that may or may not be levered up because of that control drawdown profile.

And they're looking to build a big low-vol portfolio out of 50 low-vol components. Which means if you have an element of volatility like us, you are viewed as wildly fringe and scary and those sorts of things. There's a great paper written, I think it was maybe two or three years ago, Cliff Astonis at AQR who is just, he's a great follow. But he wrote a paper called, It wasn't even in defense of it was, it was, it was, oh, shoot. But it was basically in praise, in praise of high volatility alternatives. Okay. You can pick it up off the off the web. And what it basically says was if you can find truly uncorrelated or in the best possible environment, anti correlated volatility, you should embrace that.

Right. And that's something that we have generally exhibited and we think it's very useful. Again, it's not top of mind when things just grind up into the right all the time. But when you have those periods of volatility, if you have a small allocation to a highly volatile but anti-correlated asset, that can do an enormous amount to offset the damage that the rest of the portfolio, you know, sustains. And so, so that's very useful. So, so we've always carried, you know, kind of a one and a half to 2% long vol book. Okay. And what is that? Do you mind talking to us about what that looks like? Is it rolling VIX

calls? Is it buying out of the money SMPs? Like, how long do you go? And how do you think about sizing it in terms of Is it just I'm willing to spend X and whatever, you know, whatever that insurance, as much insurance as that buys me this year, that's as much insurance as I get. Yeah, a lot of it is the level of all dependent, you know, how much can you get and how far out of the money do you need to go? But it tends to be a number of different instruments. We do use VIX calls and call spreads. We use sort of out of the money options in currencies or commodities or individual ETFs or high yields. Utilities have been an area that we've used quite a bit in terms of our our vol book because you know utilities tend to they have the volatility of bonds and they act like bonds particularly in the first parts of a correction but then ultimately if that correction continues they act like stocks.

And so you get a sort of a step function move in volatility that you can purchase very cheaply for a period of time. So you're the guy, Barclays has this great ETF report that's like volatility and they go through all the different instruments that you can use to hedge and if they're cheaper, expensive versus typical drawdowns. You're the guy that's listening to them and maybe not specifically them, but you're the guy combing through there trying to find the different, different hedges that are cheap. I'm, I, yeah, I am, I am, I covet inexpensive convexity. And look, this goes back to like the guys that we mentioned earlier, the Diego Perez, the David Dredges, the Chris Coles. You know, there's some great guys who we spend a lot of time with, you know, Noel Smith, Jason Buck. People who really understand vol and help us go out on the ball surface and figure out how to most efficiently express our set budget to embrace that volatility. And I like it to be a multitude of different things because you don't It's a shame if you expect the environment to get volatile and you choose the wrong instrument. Right. So one of the things that we've had in that bucket, quite frankly, over just for the last couple of weeks, which is timely given some of the conversations we've had over the last month, was long bonds. TLT calls as part of our fall book right now, as is long yen, as is a couple of other things that we've packed in there. Well, I was going to ask you about the currency component because that's not something that a lot of people look at.

And like one of my big beliefs is if you were looking for an inexpensive hedge, I think that the Swiss Frank yen is a great short. And it's a

complicated trade in that the Swiss generally have a higher hedge ratio in terms of their currency overlay for their stocks and the Japanese don't. And so in a risk off stock market, I was kind of expecting Swiss Frank yen to do poorly. Is that something you would look at like it would be something that complicated? Yeah, so we actually we're we're we're long yen versus euro and actually long and versus dollar and so that was You know basically a way to express the same thing. What is the most egregiously overloaded boat to one side in the currency world which was yen Which with the world using that as a funding currency and you know, where do we think that that could switch and who is vulnerable to the type of environment that we think might be conducive to a risk off. And if we were looking at potential credit issues around the world, the French and the potential impact on the euro was something that we were able to identify with guys like Vincent Toulouard and a few others, good friends of ours out in San Francisco. I was more inclined to do yen versus dollar. And then I had a great long burgundy, white burgundy lunch with Vincent and, and decided to express the trade, you know, long, long euro versus or long yen versus euro. And then he absolutely nailed that. By the way, he, and he came on our show and he was really early with that.

Long before anyone else, I remember him saying, no, no, this is the problem trade. And, you know, I kicked myself for not being short oats versus long boons. It was just the home run trade of the year so far. I think that nobody's really talking about the story. The few are highlighting as a trade that has done really well. Yeah. Yeah. Hopefully he's still allowed back into his home country. Well, you know what if it wasn't that call I'm sure it was the fact that he says he actually likes Emily in Paris that it has caused him not to be allowed to be into the country Okay, um, so you you have this ball budget. You spend it every year You just try to find the the best way to do it. It's the same as the short it helps you in terms of being able to play offense when everyone else is playing defense What are the other things you think that people when they're thinking about investing that they get wrong. Like, what do you think is the biggest mistake you see out there? Not mistake or just habit that they drop into or just something that you're like, I got to make sure I don't fall into that same, you know, problem. Yeah. I think people just tend to be pretty rigid in the framework

under which they're investing. And they are disinclined to recognize the potential for a changing backdrop.

So I think that portfolio construction is a lot like architecture. There's something that I wrote almost six or seven years ago. One of the pieces that I'm kind of most proud about, but I wrote about portfolio management from the lens of architecture and how building a great structure has to take into account the setting in which it is built. And the corollary that I drew was, you know, Frank Lloyd Wright built the amazing Tokyo Imperial Hotel in 1921, I think it was. And it's an incredible story about him kind of down on his luck and, you know, sort of middle of his career, total well, goes over and designs this hotel and does everything. totally differently from everyone else is doing. You know, they're like, look, earthquake territory, we got to build these rigid structures, et cetera. And, and he built something that is more like a boat that's going to float and work with it. And two years later, the Great Canto earthquake hits and Tokyo is leveled. Um, and he gets this telex a couple of days later, saying, hotel standing as a monument to your genius as house. And to me, you know, talk about being on the couch.

I saw this in a documentary at the Sundance Film Festival in 1998 and it was visceral in terms of my reaction to it. The ability to be able to convey to someone that you have helped shepherd them through a period of incredible turmoil I think was one of the formative things for me as a portfolio manager. I didn't necessarily want to put up the best returns or anything like what I wanted to do was to give a vehicle which would enable it would provide shelter in a storm would provide these kind of uncorrelated or anti-correlated returns. It would enable us to emerge from periods of incredible volatility together and say we made it onto the other side. That is awesome. You're the Frank Lloyd Wright of portfolio managers. Okay, so let's let's talk about what weeks, what you see that might actually be the next earthquake, right? Like, well, let's get a little more in terms of what you're seeing and what you're worried about in today's environment. Like a lot of folks seem to be really all bowled up. Nothing's going wrong. There's absolutely nothing going wrong. Like here we are. S&Ps two and a half, you know, percentage points off the highs. And even in the midst of this big huge AI, AI sell off and they're nothing really can, it seems impervious.

Do you believe the market is as strong as the bulls make it out to be? And if not, what do you worry about? Yeah, I think the setting of the market is changing and look for 20 years or 20, almost 25 years now, it has paid to kind of invest in long duration assets and have exposure to, you know, things that benefit from lower or low inflation. And are in some ways dependent on accelerating liquidity from the underlying markets and positive flows from 401ks, et cetera, et cetera. And I think that has driven a focus on just by pure mechanics. It has made people more exposed to the S&P 500. The leverage component that was available within that in a low interest rate environment that's leaving now, but with the legacy of that is still very much intact.

in most people's portfolio allocations, that's where private equity and private credit and all of these things expanded in a way that it's hard for people to think about that environment changing to one that is one of the drivers of low inflation and relative complacency about geopolitical placidity around the world was the fact that we were in this U.S. Intric, Unipolar, we make the rules, everybody listens, everybody can trade with everybody, nobody needs to hold inventories. You can just trust that whatever you need, it's going to be there and you just buy from the lowest price guy and that's great. That world, if you didn't believe it after 2022 with Russia invading Ukraine and you're not believing it now when you're seeing this sort of balkanization of Russia, China, North Korea, et cetera. I mean, all of these different moving pieces where the need for national resiliency and national interests in terms of sort of bolstering supply chains and those sorts of things, if that doesn't change that decision-making process, I don't know what it is, so it has to lead to a higher inflationary environment. It doesn't mean we're going back to the 70s. It doesn't mean, and I get the demographic arguments and all those things, but look, the usefulness of bonds in a three to four percent inflationary environment is historically very different and very inferior to the usefulness of bonds in a one and a half to three percent inflation environment. And so you just you have to do that and that's where we you know pivot to you know Louis Louis Vincent Goff's you know it's not the sixty forty it's the sixty twenty twenty where you've got some component of.

gold, you got some component of energy. That is, I think, where there is a legacy portfolio allocation that it's extremely inconvenient for most of those managers to look at having to change that allocation because there's not a lot of market cap and the other stuff that that's supposed to go into. And it's an enormous amount of work to pivot what have become aircraft carrier sized, you know, multi-trillion dollar portfolios for some of these sovereign wealth funds and, you know, even some of these big asset managers. There's private equity firms running 150 or 200 billion. I mean, a 10 billion private equity firm 20 years ago was huge. So that to me is the peril of the current environment. And that's where the earthquake hits.

And so what we're trying to position ourselves as is not just to be able to you know avoid that storm and not to be negatively impact in it but to position ourselves so that we can be sufficiently positively impacted by that that we can help our investors who may have exposure to some of those things I think I think you're gonna agree with me that it that that potential earthquake might be all the worse because A lot of these material, like all these gold miners, copper miners, all these things, they are, they being the amount of capital that's been put for expansion over the last decade or two has been negligent. And the reason is because the reality was that we had that big huge boom in 2005 to 12 or whatever. And so there's been The capital markets for those resource companies have been starved of capital for a long long time. And so when we do get the demand side, the price response is going to be all the worse because the supply is constrained. Would you agree? And how do you think about that? Yeah, absolutely. I mean, I think that's the underpinning of any really good resource market, the bull market of sort of 2000 to or late 90s to 20.

2007-2008 with that little echo boom beyond it into 2011-2012 was really a demand driven market. And there's Chinese industrialization. Where we are currently is you're absolutely correct, a supply driven bull market. And I think it was like an old red hour back quote. He's like, I like drafting tall guys, not fast guys, because tall guys don't shrink when they get tired. So so so that's that I think is the supply driven boy and by my numbers spending in cap X in the resource sector has gone down about 50% on a nominal basis and about 75% inflation adjusted since the sort of 2012 to 2014 range.

And so the big projects that you need to be production from 2025 to 2035 you really needed to start working on those in 2020.

and have to continue to have worked on those for the last five, six, seven years. And there's just a lot less of that out there. So I think that the resource bull market is underpinned by that. It's underpinned by the fact that this tech bull market is a much more materials intensive one than what we had back in the 2000s. And I was front row for that in San Francisco in 99, 2000. And there's this the geopolitical imperative thing that it's just not a world where everyone's gonna be okay using other people's supply They're gonna need to have some of their own and that's that caught that you need more spending on top of the more spending that you need to catch up with what we didn't spend right and I think that the Part that a lot of folks miss is that in 20, you know, basically from 2010 all the way to 2024 The US was the only country that was actually willing to run deficits So the fiscal was very much limited to the US. They were the ones that were willing to run big deficits. And now, you know, Trump, you know, love him or hate him, the reality is that he's changed everyone's attitudes about running deficits because they have to.

And so not only have we got the geopolitical concerns about the fact that you can no longer count on, you know, being able to go and buy your last minute or whatever it is. You also have the situation where every single government is like holy smokes. We can't rely on the US to be the only spender. We're going to have to spend as well. And I just kind of flabbergasted that more people aren't more worried about the amount of fiscal spending that's going on throughout the globe. Yeah, it that is that is a significant component of this regime change that I think we have to be cognizant of and everybody running simultaneous You know Fiscal deficits it just tells you that inflation is going to be higher. I think that's just it's kind of built. It's baked into the cake Okay, so now people are gonna be mad at me if I don't start asking about individual Commodities and sectors and things like that. So let's just go let's go through the gambit What do you want to start with? What are you most excited about right now? Yeah. So energy has been a wild ride this year. And it was egregiously under-owned back in kind of Q4 of last year. I think the consensus was that it was a 60 market that was going direct to a 50 market or even a 40s market. Yeah.

And even before the missiles started flying at the end of February, stocks started doing really well. And I think that was just a egregiously underweighted. I think it got down to 2.7% of the S&P 500 or something like that. So then you got on top of that a geopolitical catalyst. And then I think you had this. The reaction for most investors was it was very polar. It was, hey, straight's closed. OK, you know, energy is important. Straight's open. OK, it's not important anymore.

And I think the way we tried to view it with a bit of a longer lens. You mean you weren't going back and forth on every tweet that Trump did? It was all 65 re-openings of the straight. Every single one of them. This one's going to be real though. This one's going to be real. So you say there's a chance. But I think that in our view, the bigger impact was a depletion of the buffers that had driven the 60 oil price in the first place. And that was not just US strategic petroleum reserves, but those in China. We learned a lot in this study. You can't cut off 10% to 15% of global oil demand without learning an incredible amount of crisis management about how things evolve around the globe. And so I think we learned a lot.

I underestimated how flexible the global system was. So you're not alone in there, right? Yeah, but I think that where we come out on the other side is energy is important again. It's not just important because of this geopolitical backdrop. It's important because Data centers and AI and all of technology indeed doesn't run without it. It is it's important for national security It's important for politicians being able to stay in office And I think there is a gradual movement we've seen it in the Americas first I think there's a chance that it moves to other places overseas in that the sort of extreme swing in anti fossil fuel anti-extractive industry mentality that had been prevalent for really from kind of the late 2010s, you know, really kind of peaked probably 2022-2024 and has started to ebb a little bit towards what I like to say, like energy pragmatism.

I think there is a balance that can be struck. And again, most of the Latin South American countries are starting to move a little bit more right. They're starting to be a little bit less nationalized, the industry, and et cetera, and more like we have to be good partners to be able to foster our own resilience. And so I think that's underway. I think that's a very big theme.

We like buying energy in jurisdictions that have had really bad energy policy on the bet that it gets a little less stupid. Okay, so where are those? I think the North Sea and the UK North Sea in particular is a fantastic example of that. You know, 80% windfall tax rates and those sorts of things, crushing domestic industry, losing tax revenues, losing employment.

and putting out a business, most of your industrial sector, it's just bad business. And I think politicians are realizing that regardless of sort of whatever green cred you want to go with, if people are finding it hard to afford food and their businesses are going under because they can't afford the energy, you're likely going to be a former politician. I think there is movement underway in some of these areas. And if you can buy companies at two or three times cash flow and 15% dividend yields and you don't need any other catalyst, then people can go from max stupid to only 7 on a scale of 10 stupid. Yeah. I think that may just work.

Okay, so can you name names there or do you have to help people? I should not name it, but there aren't many names left. It's a Darwinian group that's still kind of independent North Sea oil and gas producers. Okay, so go do some work. That's what somebody will look at. I thought when you were talking about countries that had gotten a little less stupid about their energy policy, you were going to mention my country. Well, I think, again, in the Americas, that's absolutely the case. And Carney came in as sort of a, you know, thinking that he was, you know, sort of arm in arm with the, you know, the, you know, the great, the world economic forum and all those sorts of things. And he's proving to be, surprise, surprise, a pretty adept politician in terms of finding some ways to compromise that actually are in the best interests of his constituents.

Yeah. And listen, I from day one argued that Carney was not what everyone thought he was. They were tainting him with this brush because he went with the liberals. And the reality was that he was just as likely to be the leader of the conservatives. It just happened to be that that's what was taken previously. Stephen Harper, one of our former prime ministers actually tried to get him on his cabinet. So the guy is a liberal or conservative. It doesn't really matter. He recognized that the issue was that we need to get our economy going. And he was going to do what he's going to do. Like, Jesus,

he's a Goldman Sachs, Brookfield central banker for, you know, bank and everyone's like, oh, no, he's going to do all this green stuff. And I'm like, you know, I get it. They'd be like his wife's a big green. And I go, does your wife, you know, does she make your portfolio? Like, like.

Like, why do we think that just because his wife was agreeing that he was going to do that? And the, and the other thing is that I thought was obvious, Robert, was that his first thing he did was get rid of the carbon tax. Yeah. Right. So do you have names there? Can you just go buy the oil sands or like, you know, or. So I think. that, you know, I've always been a big fan of Canadian energy. We don't have a lot of exposure there right now. We like, you know, kind of the, the steadiest they go, kind of high dividend paying, but can do, we like companies that can grow a little, pay down debt a little, pay out a big dividend at the same time. And there's, there are, there are a number of those up there that that kind of fit that criteria. And we've got long held positions in a couple of them.

Okay, so let's keep going. There's energy. You think that's the one you chose to go with first. What's the next most attractive resource play out there? So I think that we're starting to see the junior mining sector has gotten beaten up pretty well. I do think that they're very specifically, I think there's a very short list of really good next generation copper projects. Okay. In good jurisdictions that have the size that are going to be interesting to potentially majors. And that's where I would want to focus if I was buying those. We're actually, on the margin, we're actually short some of the big cap developed copper companies, the global majors and diversified miners. because we think there's some element of economic headwinds and probably an element of AI bros who, you know, decided to round out their portfolios with a little copper and a little natural gas. And those are very kind of low conviction holdings for them. And so we're short some of those, but we find this tape where there's, again, I don't think there are 50 good copper projects. I think there may be half a dozen.

And we want to hold a basket of those and be ready to kind of lean in when those stocks get beat up, which they kind of have it over the last couple of months. One of the things that's actually surprised a lot of traders is the fact that as Gold's gone hammered, Copper's hanging in there. Is that just the AI

trade or what do you think is going on there? There's been a lot of... kind of variability in the way there was an incentives because of the US tariff, tariff threats, that there's an enormous amount of copper that's being held in the US because people are worried that the tariff is going to be enacted. And therefore you're going to want to have copper already in the US. So you built stockpiles very aggressively here, but they're viewed as strategic. They're not really being viewed as functional. They're much bigger than they need to be functionally. So that in some ways has kind of isolated a point of supply or made people not concerned that US inventories are high. So I think that's probably part of it. Look, I think, you know, sort of this, you know, build out of data centers and things like that on the margin, it helps a little bit. But really, it's kind of going to be China as as, you know, just just China construction start to, you know, really start to pick up again. And that's been, you know, pretty morbid. So I've been surprised at how well copper is held up. And that really has driven why we've got sort of shorts across the major big cap miners. The smaller developers had acted really well. They're the ones that have really underperformed over the last couple of months, which is where we see the opportunity set. You mentioned China. I remember there was a point when China was all the matter when you thought about pricing copper. That was all everyone talked about.

And one of the things that I've been trying to stress over the last little while is that a lot of these relationships that had previously been driving it, whether it be China influencing copper or whether it be US rates and US dollar being the sole driver of the gold trade, all those things need to be thrown out the window. But one of the things that you highlighted there was that China has actually been struggling. What do you think's going on there? And how do you incorporate that into your view about the whole commodity trader resource sector as a whole? Yeah. I mean, look, effectively, China is the world's largest commodity hedge fund. They just happen to control an enormous amount of the physical. And they can use that to their advantage. I think in sort of a more 25,000 foot view.

They did something that the US has been very reluctant to do, which was they saw a bubble and they popped it. They consciously went in and said, ever grand, et cetera, et cetera, all this ridiculous building that was being

done at both the state-owned entity and other levels in China. They said, no more of this. You're cut off. And it's fine if you go to bankrupt. It's fine if you go bankrupt. And it's fine if you go to jail. So they had the courage to let the air out of something before it got so big that it could end up being utterly catastrophic to social fabric there, which is really what they're there to protect. They're not there to protect people's 401ks. They're just there to make sure that people are fed and people are hapless and people are happy, and we're not going to have TM in square number two.

So it's a very different construct than what we have in the US. So that's what they have done. I like the fact that I can be constructive on a number of facets of the resource spectrum. and not have it be a China story and in fact have China being exactly as you say has kind of taken itself out of the picture not really but on the margin you know if you look at the last 30 or 40 years of Chinese growth rates we're at the low end of the band for sure and so and so that's a you know then that provides potential upside I think we've seen the downside we've digested the downside of that watching them contract And now we're at the point where, hey, look, if they decide to do some pro-growth policies and decide that they've deflated their real estate bubble sufficiently, that they can go in and start modestly supporting a rebuilding of that, not that they need a lot of new apartment buildings or anything like that, but to go back in and start saying, all right, let's do a little bit more in infrastructure and a little bit more and maybe they kind of support.

some of their domestic AI data center needs and things like that. But I think it's kind of almost all upside on China for now, which is kind of a neat spot to be in. I know our friend, Louis Vincent Gaff, he argued that like in terms of the recent Chinese weakness that we've seen across the board, one of his arguments has been, well, we just had a huge energy shock. Why wouldn't China pull back on the on the throttle? Right? Because if they push down on the throttle in the midst of an energy shock, it's going to make everything worse. And so his argument is that, yes, once this finally cracks, whether it's the bubble, whether it's the war in Iran and oil comes back down, they'll be able to put their foot back down on the throttle. Do you buy that? Do you buy that argument? I do. Yeah, I think I think they are a day. What did they have shown?

very clearly over the last nine months is they are a counter cyclical in the resource business, which is great because we're used to booms and busts and to be able to understand that, you know, look, okay, China is going to be a decelerator at 105, 110 Brent, and they are going to significantly and aggressively rebuild inventories at 70 or 75. Quite honestly, the equity case for the companies that I'm investing in, in the energy sector, that is spectacular for. Right. That's such a good way of putting it, Robert, that they are counter-cyclical. And I would argue that it's more than just the resource economy. I would argue with the whole entire global economy. It's not just resources. It's everything. Right? They're doing counter-cyclical.

you know, policies. And that makes the economy more stable. Okay, um, what else should we talk about in terms of some of your picks? You mentioned how about shippers? What's going on there? And like, give us your views. They're like, this be wet. This, like, I don't know what's what's in this thing. Cause this is one of the most unbelievably depths I've ever seen. Yeah. I sort of have kicked myself a number of times over the last year because we were really constructive on tanker rates going back almost two years. And we liked it both because there were some structural things going on, low order book and potential navigation of the sanctions regime that would cause increased demand for tonnage. But we really liked it because it helped hedge our long book, our long energy book because the vulnerability that we saw in 2025 was OPEC increases more barrels.

You know, that's bad for our energy long. So it's really good for shipping stocks. So, so we've been there. But I didn't have the good sense to just buy the thing that just is effectively it. It is long, short-term spot tanker rates. Yeah, BWET. Go pull it up folks and have a look at this ETF. It's insane. 20 to a thousand or something. Yeah. And this is not an investment recommendation. This is not. Yeah, this is. Yeah. And we do we don't own it. We have not owned it. But what it is indicative of a shipping market that if you think the refiners have been, you know, in a sweet spot this year, if you actually do the math to anchor rates, particularly we're talking specifically Middle East Gulf Coast VLCC rates, have done like four times as well as U.S. Gulf Coast Gulf Coast for vining cracks it is absolutely absurd they've got you know used to be where you know a year ago if your tanker was getting 50,000 a day and cost 25,000 a day to run you have this

great 25,000 margin you know now you're seeing spot rates in the 800,000 to a million to a day those are look those aren't for long voyages and it's 30 or 40 days but the math on this you can back it out from like a new tanker costs 125 million to build. You can sell a 10 year old tanker now and get like 160 million for it. Because by the time it would take it, because you can generate 30 or 40 million worth of cash in the next six months. And I'm just thinking as you tell this story, that back to your original thing about all these costs that are embedded now into the system and the inflation we're seeing, there's yet again another part of this.

Yeah. And look, I don't think rates are going to stay here by any stretch of the imagination. But what we're seeing is people used to think a good one-year charter rate was 60,000 a day. A good two-year charter rate was 50,000 a day. Now you can go out and do one-year charters for 125,000, 150,000. And think about the margin expansion on that when your cost is 25,000. That's four or five acts of where it was a few years ago You know two year two years are well north of a hundred thousand college days So so there's an issue the interesting thing to me and this is always the case in these kind of niche industries is that investors say, okay I see a headline about tanker rates and I'm just gonna buy the tanker So I'm gonna look for the one that has gone up the least and I'm gonna buy that one But that one may have some issues, like maybe it doesn't even have VLCCs. Maybe it doesn't operate in the Middle East. Maybe it's actually forward sold a lot of their freight and so they aren't going to get these high rates. So there are a couple of really good folks who cover the shipping space on X and there's differentiating between tanker stocks, there's a wild variation between the net present value that these companies are going to generate. So actually for a long, short guy, there's incredible opportunity. But you want to listen to guys like Ed Finlay and Joaquin Handstahl. And there are a couple of really elegant, thoughtful, deeply embedded folks in that market where there's money to be made there. Can we talk about specific commodities that are very, very important from a national security point of view, like tungsten. And just give us what you thought, what you think about those and other rare earths that might be, you know, there might be a political element, but also huge opportunities there for some of these things. Yeah. Yeah. So the way we are currently position generally is that we were, you know, we had some early exposure to some of the rare earths, some of the things like

tungsten and gallium and things like that in the bigger metals, you know, we've kind of been generally positively inclined towards nickel versus, you know, some of the other ones in rare earths in particular, I actually think that the tough thing to do is not necessarily find and produce rare earth system. So if you can find they're actually Let's just say north of the border companies that are already real scale not bench, but real processors of rare earths Where I think that that's the bottleneck I'm a little concerned there so you really have to go in that rare earth are they're not apples to apples there are incredible variances between the weights of lights versus heavies in many of these deposits. And if you have too much of one facet of the spectrum of rare earths, it's the difference between a deposit being wildly economic and being totally uneconomic. So I think that is not something where you want to take a shotgun approach. You want to really understand the business. And I do think broader thinking again, I think rarer since strategic metals have become a little bit more of a crowded room in resource space. Okay. And especially when if you think like look if we now have four or five countries around the world that are now trying to make sure they are nationally independent in terms of self-sufficient in being able to produce their own variances of these and they're willing to offer significant guarantees or offtakes or some sort of contract structure that would bring hundreds of billions of dollars into an industry that has typically survived off of five or ten billion dollars in capital expenditures. I think you want to be pretty discerning in terms of the ones that you invest in because oversupply is winter is coming at some point. It's not right around the corner, but it's going to come. And look, I was there for the Uranium boom in the late 90s where six companies turned to 600. And then all of a sudden, you know, five to seven years later, you were back to maybe a dozen companies. So of that incremental 600, you know, 590 of them ended up disappeared. And so I think that I think you want to be I can read between the lines there. And I do like your winter is coming in a thing, especially with the 51st state and the big wall up there. So I think we'll be building the wall. One of the things that, before we let you go and before we let you off the couch, I'm going to give you just a couple, but we're going to bring it back to kind of bigger questions. And if I asked you if you could sit down with one of your favorite Mark of Wizards, who would it be? And what would you ask him?

It's a really good question. You know, because my desert island trading, you know, guys is, you know, Druckenmiller. I just think his flexibility of being able to shift views and to change perspectives and not to be married to various things and to be able to navigate different market environments are extraordinary. I almost think I'd go back to like my vol guys, you know, I miss I think one of the most elegant writers that I have ever seen is Chris Cole from Artemis. I don't know if you remember some of his old pieces, you know, Star Wars convexity. And I view those as almost like bootleg, grateful dead tapes, where if you read his piece on why Dennis Rodman was likely the most valuable player in the history of the NBA, it is perspective altering.

And so, I think I would, you know, something like him or a, you know, a Diego Peria or, you know, someone, you know, Dave Dredge or someone like that, that just helps reinforce the fact that, you know, stick with the stuff that's not working because it'll work eventually. And it's going to be really important when it does. In terms of your weaknesses. in your investing, what's your biggest weakness and what do you have to work on the most? So one of the things that I've worked very hard to overcome is I'm a dip buyer. I want to buy the low. I want to be able to point to a chart two years later and say, that's where I loaded the boat.

And what it did was it precluded me from starting to buy things when relative strength and absolute performance were improving. And it took a lot of introspection and going back and walking through my trays, all right, what worked this year, what didn't, and let's look at the entries and list. And it took me like 20 years to figure out that it's like, wait a minute, if you just... Wait until things start working again and you're not the only guy in the room anymore. It's a lot easier to make money. So I still don't think I'm great at that. But I am better than I am less bad. than I used to be. So you wait for the room to have one or two people in it before you go and join it. It's not completely empty anymore. So I may be in the room, but it's not like I'm all in the room.

I love when you tell me that you love to buy the low and be able to point to that low. I love that Harley Bassman line. He goes, I've only bought the low once. And that was when I went to sell the position and I mistakenly hit the

buy button. There is, there is some of that in this business for sure. I will raise my hand as guilty. I've, I've asked you a lot of questions. Is it what, you know, if you were sitting here and you were in the interview chair asking you the questions, what would you ask that you think I missed? I mean, look, as usual, you've covered a lot of ground here. And I've just kind of been along for the ride and you've been, you know, leading me by the reins. I'm not sure I could point to something in particular. I mean, there's anything that, you know, we didn't really talk about gold. I think we're almost there on gold. Let's do it. Let's talk about gold. A lot of people love to hear your views on that. Yeah. So look, we had a good ride in gold in 2025 and in early 2026. But when You know, everyone on Twitter started having the silver eyes and things like that. Sometimes they do ring a bell, right? And so we didn't go to zero weight, but we took our weight down a bunch. And we tactically brought it back up kind of into August and it worked really well.

And it was hard to take some of it back off again, but we did. And it was because it was too sharp. It was too good. And the reason that I put that on, I've got a colleague in the office and had been popping around and talking to a lot of investors and going to some of the shows in Denver and Beaver Creek, et cetera. And man, it was like everybody in the gold space was like even the tried and true old guard portfolio managers who we've gotten to know well over time, some of whom I've worked with. And no one was like everyone was waiting for the 3,500 print. Right. And so we're like, look, if it starts to work here, it's going to work well. But then it was like it worked too well. It showed how off sides the rest of the world was and how anxious retail was to pile back into the trade. And unfortunately, that created another period of vulnerability that we're currently working our way through. But where we need to get to with gold is we need the central bank to blink and the US in particular. And I think it's a great shrubbism that we're familiar with, which is either you'll buy my bonds, or I'll torch your equities, and then you'll buy my bonds.

We're in that period now and the question is does it create the sort of economic backdrop that then pivots the likely path of central bank activity and you know raise you know increases turn to cuts and then and that's where it's when they blink. And I think given the kind of tape over the last.

Yes, look, they've wanted bonds to be stronger. They've wanted the dollar to be relatively stable. They've wanted the yen to strengthen. They're starting to get all these things. Basin's looking a little bit more like he's the house again. But ultimately, it is when the environment goes a little further than they want it to go, that's where the next leg in cold.

comes in and I think we're, I think we're setting up for that now. And so we're, we're sharpening pencils in that space. Great. Okay. So we're going to end with one last question, which is we did your, your top music pick. So on the desert island, but this one we're going to do is the one that I, especially in this environment where it seems like everyone's at each other's throats and there's not enough kindness going around. I'm going to, you know, take, I think it's Patrick O'Shaughnessy that started this. And I think it's a great way to end the podcast. It's like, can you give us. something kind someone did for you in your career, you know, and tell us a story of who they are and what they did for you. So when I was originally at the Franklin Templeton group, so after I graduated from college, backpacked around the world for a year and then went to work for Franklin. So I was there for a couple of years, the last year that was in the portfolio management department. And I actually, you know, was a co I commissioned to launch a natural resource fund and was a co manager on that.

But I got an opportunity to kind of jump out and run a resource hedge fund. I was 27 years old. I was like, hey, it's like an awesome idea. So I left and I purposefully put in my resignation about three days before bonuses were set to be paid. And I'm like, it's just, I think it's so cheesy to take your bonus and resign the next day. And I knew I was going and they had been really good to me. Johnson family, et cetera, just great folks. And the director of equity research at the time was a guy named Ed Jamison. And I went in and I said, look, I've got this opportunity to go launch this. I'm going to go do it. I understand that means I'm not going to be eligible for my bonus. And I'm cool with that. And it wasn't like it was a big bonus, particularly in the realm. I was a young guy, a junior guy there. But he looked at me and he said, we're going to pay your bonus anyway.

And said we think we think you've you've done good work you contributed here we appreciate that and you never know in this business. When we

might want to collaborate again or when you know what you do might be relevant to us what we do is relevant to you you never know in this business when we might interact again and I'd like to leave it on a high note and that to me. 26-year-old guy who didn't have a lot of money in the bank at the time. That was something that helped form the way I think about how I want to run my business for my partners. And so it's kind of like that tiger management when they went off and they said, look, we generated great returns for our investors, but most importantly, we conducted ourselves as gentlemen. That to me is I think should be a cornerstone principle in this business.

That is an awesome story. Great way to end it. Before we let you go, why don't you tell people about your firm, where they can get more information, how they can reach out to you. They're interested in investing with you. So I am occasionally on X at MRA funds. We do have a website that I think was updated in 2022. MRAfunds.com, Marathon Resource Advisors is the firm. We manage money for qualified investors around the world and happy to talk to people if something from this conversation resonates with them. and just always appreciate your time and the wealth of knowledge that you bring to this platform is amazing. And I feel lucky to occasionally be able to bob around in the Mediterranean with you. Well, listen, right back at you. And I really enjoy you coming. And thank you very much for your time and all the kind words.